



CHAPTER x

An Act to amend the German Potash Syndicate Loan Act 1950. [27th July 1955.]

WHEREAS—

(1) By paragraph 4 of Article III of Annex II to an agreement (hereinafter called “the German External Debts Agreement”) made between the governments of Belgium Canada Ceylon Denmark the French Republic Greece Iran Ireland Italy Liechtenstein Luxembourg Norway Pakistan Spain Sweden Switzerland the Union of South Africa the United Kingdom of Great Britain and Northern Ireland the United States of America and Yugoslavia of the one part and the government of the Federal Republic of Germany of the other part and dated at London the twenty-seventh day of February one thousand nine hundred and fifty-three (the said Annex II being the Agreed Recommendations for the Settlement of Medium and Long-Term German Debts Resulting from Private Capital Transactions) it is provided that the agreement set out in the said Annex II is not to apply to individual bonds or coupons which are required to be validated under (inter alia) the German Validation Law for German Foreign Currency Bonds dated the twenty-fifth day of August one thousand nine hundred and fifty-two (hereinafter called “the German Validation Law”) until such bonds or coupons shall have been so validated:

(2) The agreement set out in Annex II to the German External Debts Agreement is applicable (inter alia) to such of the bonds defined in section 2 (Interpretation) of the German Potash Syndicate Loan Act 1950 (hereinafter called “the principal Act”) as by this Act amended as have been or become validated under the German Validation Law but is not applicable to such of the said bonds as have not been or do not become so validated:

14 Geo. 6. c. vi.

(3) At the twenty-second day of February one thousand nine hundred and fifty-five the total nominal amount of the three series of bonds referred to in the principal Act which had been validated under the German Validation Law was—

Series A £2,494,500

Series B £1,244,270

Series C £1,312,230

and the total nominal amount of the said series which had not been so validated was—

Series A £648,080

Series B £313,000

Series C £500,270 (including an amount of £334,030 which the company in the principal Act defined claim to have redeemed but which were not cancelled):

(4) Doubts have arisen whether some or all of the £334,030 in nominal amount of bonds of the said series C were validly redeemed and it is apprehended that such bonds or some of them may in fact in the events that have happened be now outstanding but such fact has not been established to the satisfaction of the trustees in the principal Act defined:

(5) A detailed offer of settlement relating to such of the said bonds as have been or become validated under the German Validation Law has been submitted by the said company and by certain of the members in the principal Act defined in pursuance of Article VII of Annex II to the German External Debts Agreement:

(6) The said offer has been approved by an advisory committee appointed at a special meeting of the bondholders convened by the trustees pursuant to the provisions of the principal Act and held on the fifteenth day of March one thousand nine hundred and fifty-one and it would be for the benefit of the bondholders that the said offer should be accepted and embodied in an arrangement or scheme for submission to a further such special meeting:

(7) It is expedient that provision should be made as in this Act contained authorising a special meeting of bondholders to approve and sanction an arrangement or scheme which shall be capable of binding all the bondholders within the meaning of this Act notwithstanding that such arrangement or scheme may provide that such of them as are holders of bonds which have not been or do not become validated under the German Validation Law shall be excluded from having or acquiring rights in respect of or under or by virtue of such bonds:

(8) The purposes of this Act cannot be effected without the authority of Parliament:

May it therefore please Your Majesty that it may be enacted and be it enacted by the Queen's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows:—

1. This Act may be cited as the German Potash Syndicate Loan Act 1955 and the principal Act and this Act may be cited together as the German Potash Syndicate Loan Acts 1950 and 1955. Short and collective titles.

2.—(1) In this Act the expression “the principal Act” means the German Potash Syndicate Loan Act 1950 and expressions used in this Act shall have the same meanings as in the principal Act. Interpretation.

(2) In this Act except where the context otherwise requires—

“the German Validation Law” means the German Validation Law for German Foreign Currency Bonds dated the twenty-fifth day of August one thousand nine hundred and fifty-two;

“non-validated bonds” means bonds which have not at the passing of this Act been and do not within the period prescribed from time to time under the provisions of the German Validation Law become validated pursuant to the German Validation Law.

(3) In the principal Act and this Act the expression “the bonds” shall include and in relation to the principal Act shall be deemed always to have included such of the bonds of series C of the nominal amount of £334,030 referred to in paragraph (3) of the preamble to this Act as are for the time being outstanding.

3. The provisions of subsection (1) of section 4 of the principal Act shall be deemed to include any arrangement or scheme whereunder such of the bondholders as at the expiration of any period prescribed for validation under the provisions of the German Validation Law are the holders of non-validated bonds shall be excluded from having or acquiring any rights or interests in respect of or under or by virtue of the non-validated bonds of which they are the holders. Amendment of section 4 of principal Act.

4. All costs charges and expenses preliminary to and of and incidental to the preparing for obtaining and passing of this Act or otherwise in relation thereto shall be paid by the trustees out of any moneys in their hands in connection with the loan. Costs of Act.

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